

Banking

Financial Institution

BANKS

Working on
Banking Act 1949

↓
Institute helps

- cash deposit
- cash withdraw

• CA - Current Account

• SA - Savings Account

Time deposit, DEBIT

Locker, Loan, Credit

NBFC

Non Banking financial companies

main work = finance, Insurance

- ↳ No current Account
- ↳ No saving Account

⇒ Company Act Registered

Ex - BASAS Finance
TATA, LIC.

Banking

Organize Banking Structure

1) At Govt. of India

RBI - control

2) Formation = Ld

Ex.

Govt. Bank
↳ RBI

1 Pvt. Bank.

↳ PNB

Non-Organize Banking Structure

Ex - Money lenders

History of Banking System

• The beginning of the modern bank is considered

• Bank of Venice in Italy ⇒ 1157

Then after,

• Bank of Barcelona ⇒ 1401

• Bank of Genoa ⇒ 1407

• Bank of England ⇒ 1694

• In India,

• Bank of Hindustan = 1770 in Calcutta (Kolkata)

↳ founded by Alexander and company

↳ But soon closed

• " " Bengal = 1806

• " " Bombay = 1840

• " " Madras = 1843

• Allahabad bank = 1865

• Awadh Commercial Bank = 1881

• PNB = 1894 founded by Lala Lajpat Rai.

• central Bank of India = 1911

• Imperial Bank = 1921

In 1934 RBI Act introduced by govt.
— x — Nationalisation of Bank — x —

In 1949 = Nationalisation of RBI

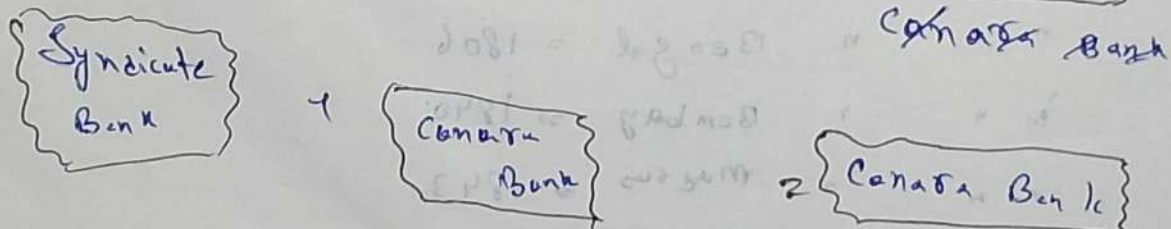
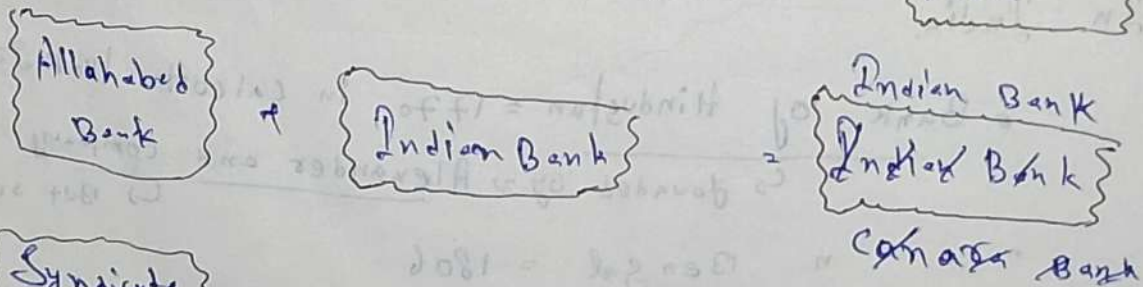
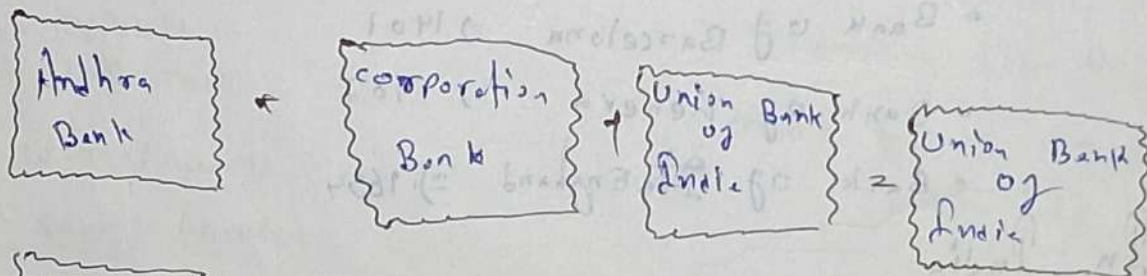
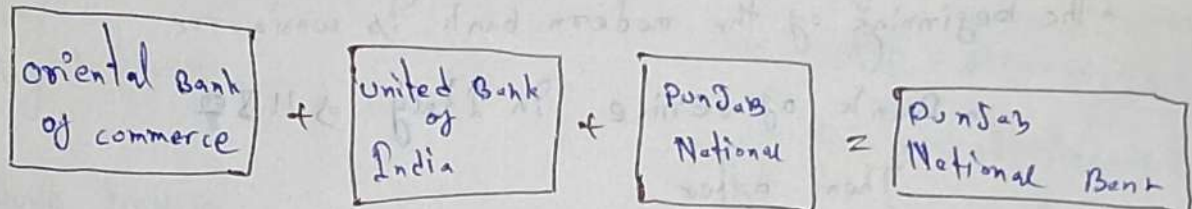
1955 = 4 SBI + Imperial Bank

1964 = 14 Bank Nationalization

1980 = 6 Banks.

MERGER OF BANKS

→ In August 2018 central govt. announced the merger of 10 banks with aim to boost the economy.



Types of Banks

Commercial Banks

Schedule
Commercial Banks



- RBI - Act - 1934
2nd Schedule - Listed
- Pvt. + Govt. Bank

Non-Schedule
Commercial Banks



- Banks which are not
in the RBI Act 1934
- cooperative
- only gov. } Both
only Pvt. }

Ownership

A) PSBs ⇒ जिन् Bank का 50% + share govt. के पास हो.
Total 12 PSBs are in India

Biggest ⇒ SBI ⇒ 100% share on govt.

B) Pvt. Bank ⇒ 50% + share on Private Person/Company etc.
Ex. HDFC Bank
⇒ Total 21 Pvt. Bank in India

C) Cooperative Bank ⇒ The bank is owned and controlled by their members, under the multistate cooperative societies Act 2002.

d) Foreign Bank ⇒ Total 44 foreign bank

- SCB (Standard Chartered Bank) England.
↳ 100 branches in India
- Citi Bank (USA)

Differential Bank

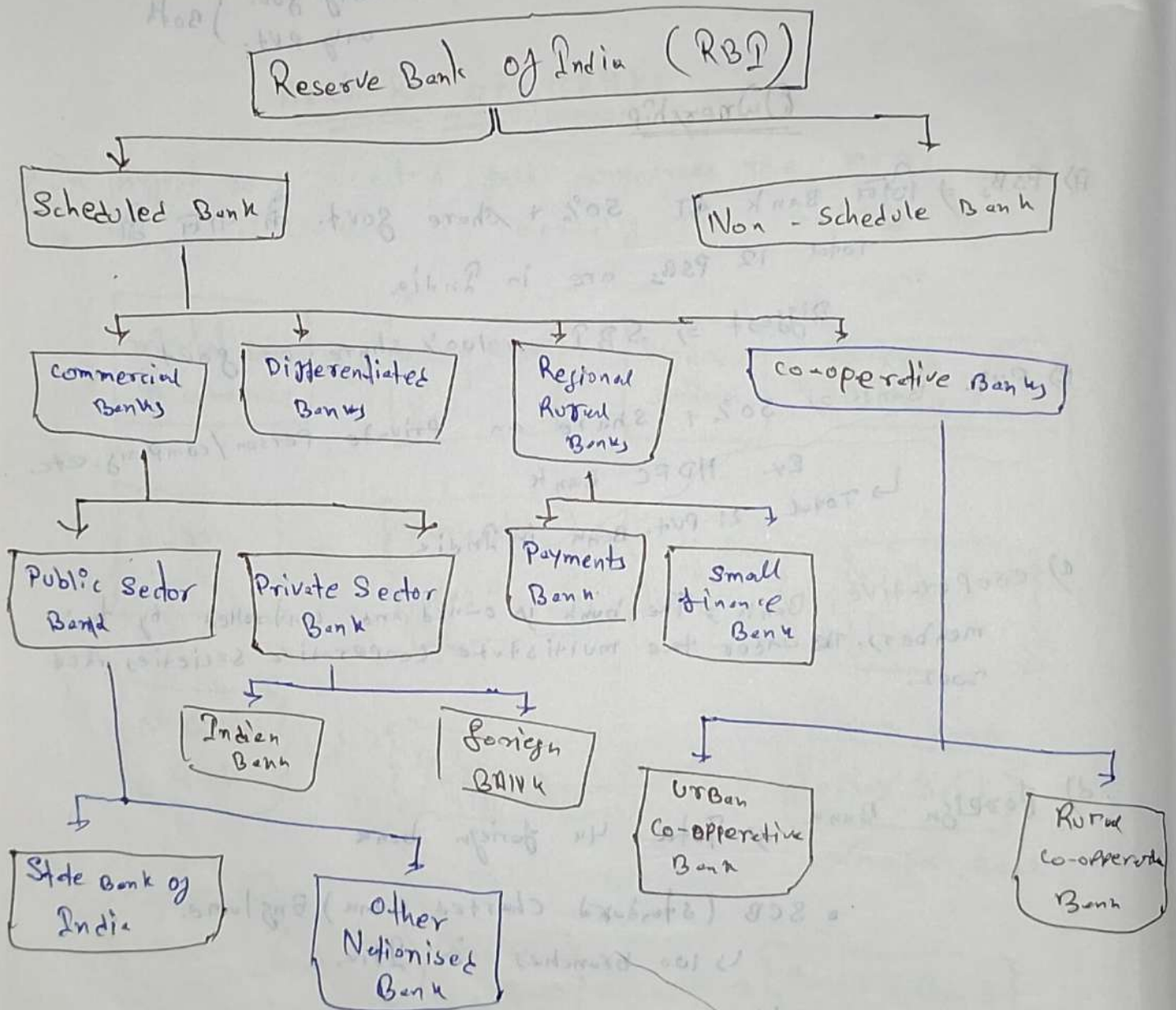
→ The bank which are formed with special task.

→ Deposit
→ Withdrawal
→ Loan

→ function

→ Specifically designed.

Example → Regional Rural Bank



Banks And their Headquarters

• Mostly bank HQ = Mumbai

PNB - New Delhi

Punjab & Sind Bank - New Delhi

UCO Bank }
Allahabad " } } Kolkata

Indian Bank

Indian Overseas Bank } } Chennai

Canara Bank }
Syndicate Bank } } Karnataka
Vidya Bank }

Bank of Baroda = Gujarat

Difference b/w Payment Bank & Small Finance Bank

Payment Bank	Small Finance Bank
• Minimum capital of 100 crore	minimum capital ₹100 cr.
⇒ Established based on the recommendations of Nachiket mor society	⇒ As per recommendation of Nachiket mor and Ushathora committees
⇒ Deposit only. No lending	⇒ Both deposits and loans
⇒ 40% stake to be maintained by the promoter for next 5 yrs	⇒ 40% held by promoter, which will be reduced to 26% over the next 12 yr.
⇒ They will only issue Debit card	⇒ It will issue both Debit and credit card
⇒ not more than 1 lakh in one day deposit	⇒ No Limit for deposit and withdrawal